

FINTRUST BANK LIMITED

Retail Liabilities Group

FIXED DEPOSIT POLICY

Policy Document | Version 8.3

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CLASSIFICATION: INTERNAL

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Document Control

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Status of this document. This Policy is an internal document of FinTrust Bank Limited. It states the Bank's own standards and the manner in which its staff are required to act. It is not a contract with any depositor, whose relationship with the Bank is governed by the deposit advice and the terms and conditions accepted at acceptance. Where those are silent, or are less favourable to the depositor than this Policy, this Policy shall guide the Bank's conduct.

Monetary references. All amounts are expressed in Indian Rupees. The rates reproduced in this document are indicative. The rate applicable to a particular deposit is the card rate published under paragraph 9.3 and in force on the date of acceptance, which prevails over any figure reproduced here.

Interpretation. Words importing the singular include the plural. A reference to a Section is a reference to a Section of this Policy. A reference to a depositor includes every joint holder where the context requires. Headings are for convenience only and do not affect interpretation.

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1. Purpose and Objectives

1.1 Purpose

This Fixed Deposit Policy ("the Policy") establishes the principles, standards and operating rules governing the acceptance, maintenance, servicing, renewal, premature withdrawal and repayment of term deposits by FinTrust Bank Limited ("FinTrust" or "the Bank"). A term deposit is a deposit received for a fixed period at a rate of interest agreed at acceptance, repayable with interest on the expiry of that period.

1.2 Position in the Policy Framework

The Savings Account Policy and the Current Account Policy govern deposits repayable on demand. This Policy governs deposits repayable at a stated future date. The distinction is consequential: the depositor exchanges liquidity for a higher rate, the Bank prices that exchange, and the terms on which the depositor may resile from it are the subject of Sections 14 and 15.

Where a term deposit is linked to a savings or current account under a sweep arrangement, this Policy governs the deposit and the applicable account policy governs the account and the sweep instruction. Where a deposit is furnished as security for a facility, this Policy governs the deposit and Section 17 governs the facility.

1.3 Objectives

- To ensure that a depositor is told, before placing a deposit, the rate, the tenure, the maturity value, the basis of computation, and the consequences of withdrawing early.
- To ensure that rates are published, applied uniformly within a slab, and not varied by reference to the identity of the depositor.
- To ensure that a depositor who needs the money before maturity can obtain it, on terms disclosed at acceptance, and is told of the alternative of borrowing against the deposit.
- To ensure that a matured deposit is repaid or renewed promptly, and that a depositor is not disadvantaged by the Bank's failure to obtain instructions.
- To ensure that nomination is offered actively and that a claim on the death of a depositor is settled promptly and sympathetically.
- To ensure that unclaimed deposits are traceable by the depositor and are dealt with in accordance with the applicable framework.

1.4 Guiding Principles

The rate is the promise. A rate contracted at acceptance is not varied during the tenure, whatever happens to rates in the market.

No penalty by surprise. The premature withdrawal penalty is disclosed at acceptance, in figures, and never exceeds what was disclosed.

Maturity is the Bank's obligation, not the depositor's errand. The Bank shall seek instructions before maturity and shall not profit from the depositor's inaction.

Uniformity within a slab. Two depositors placing the same amount for the same tenure on the same day receive the same rate.

2. Scope and Applicability

2.1 Scope

This Policy applies to all term deposits denominated in Indian Rupees accepted by any domestic branch or digital channel of FinTrust Bank Limited, and to all deposit variants listed in Section 5, including recurring deposits and deposits accepted under a sweep arrangement.

2.2 Persons Bound by the Policy

The Policy binds all employees of the Bank, all business correspondents, direct selling agents and outsourced service providers engaged in relation to deposit acquisition or servicing, and all third parties operating branded or co-branded FinTrust deposit channels.

2.3 Exclusions

This Policy does not govern:

- Savings deposits and current accounts, which are governed by their respective policies.
- Foreign currency deposits and deposits accepted from persons resident outside India in categories requiring foreign exchange treatment, which are governed by the Foreign Currency and Non-Resident Deposits Policy. The provisions of this Policy relating to nomination, claim settlement and grievance redressal nonetheless apply to such deposits.
- Certificates of deposit and other negotiable money market instruments issued by the Bank, which are governed by the Treasury Policy.
- Deposits accepted under a court order, or under a statutory or escrow arrangement, which are governed by the Specialised Accounts Policy.
- Deposits of the Bank's own staff placed under a staff scheme, to the extent the scheme provides otherwise.

2.4 Conflict and Precedence

In the event of conflict between this Policy and any statutory provision, regulatory direction or judicial order, the latter shall prevail and the Policy shall be deemed amended to that extent from the date the external requirement takes effect. In the event of conflict between this Policy and any internal circular, this Policy shall prevail unless the circular expressly records that it has been approved as an amendment under Section 22.

3. Definitions

Bulk Deposit means a single term deposit of Rs. 3,00,00,000 or more.

Callable Deposit means a term deposit which the depositor may withdraw before maturity, subject to Section 14.

Card Rate means the rate published by the Bank for a given amount slab and tenure bucket, applicable uniformly to all depositors within that slab and bucket.

Compounding Frequency means the frequency at which accrued interest is added to the principal for the purpose of computing further interest, being quarterly unless otherwise stated.

Contracted Rate means the rate at which a particular deposit was accepted, being the card rate in force on the date of acceptance for the applicable slab and bucket.

Cumulative Deposit means a term deposit on which interest is compounded and paid with the principal at maturity.

Maturity Value means the amount payable on the maturity date, comprising principal and interest.

Non-Callable Deposit means a term deposit which the depositor has agreed may not be withdrawn before maturity, accepted under Section 15.

Non-Cumulative Deposit means a term deposit on which interest is paid out at stated intervals and not compounded.

Overdue Deposit means a deposit which has matured and in respect of which neither repayment nor renewal instructions have been given effect.

Recurring Deposit means a deposit built up by instalments of a fixed amount at monthly intervals over an agreed tenure.

Tenure Bucket means the band of periods for which a single card rate is published.

4. Governance and Regulatory Framework

4.1 Regulatory Basis

Term deposits are accepted by FinTrust under the licence granted to it as a banking company and are subject to directions issued from time to time by the banking regulator, including directions on interest rates on deposits, the prohibition of discrimination between depositors within a slab, the treatment of premature withdrawal and the penalty applicable, the minimum amount for non-callable deposits, the payment of interest on overdue and unclaimed deposits, customer identification, deposit insurance, nomination, settlement of claims of deceased depositors, and the transfer of unclaimed deposits to the prescribed fund.

4.2 Policy Ownership

The Retail Liabilities Group is the owner of this Policy. The Head of Retail Liabilities is accountable for its accuracy, currency and internal consistency, and for its alignment with the Savings Account Policy and the Current Account Policy.

4.3 Approval Authority

This Policy is approved by the Board of Directors on the recommendation of the Risk Management Committee. Board approval is required for adoption of the Policy, for any amendment to Sections 1, 9, 14, 15 and 22, and for the introduction or withdrawal of a deposit variant. The Asset and Liability Committee approves the rate setting methodology, the tenure buckets and the amount slabs. The Product and Pricing Committee may approve individual card rates within that methodology and the charges in paragraph 8.6.

4.4 Three Lines of Defence

Line	Function	Primary responsibility
First	Branches, digital channel, deposit operations, contact centre	Correct application of the Policy; rate application; maturity handling; claim settlement
Second	Compliance, Risk, Product, Treasury	Policy design, rate governance, monitoring, thematic testing, exception governance
Third	Internal Audit	Independent assurance on design adequacy and operating effectiveness

4.5 Exceptions

Any departure from a provision of this Policy constitutes an exception and requires prior written approval from the authority specified in Section 22. Exceptions shall be recorded in the Exception Register maintained by Compliance, shall specify a validity period not exceeding twelve months, and shall be reported in aggregate to the Risk Management Committee each quarter. No exception may be granted to paragraph 9.2, Section 14, Section 15 or paragraph 16.5.

5. Deposit Variants

5.1 Product Catalogue

Code	Variant	Description
TD-CUM	FinTrust Fixed Deposit, Cumulative	Interest compounded quarterly, paid with principal at maturity
TD-INC	FinTrust Fixed Deposit, Income	Interest paid out monthly or quarterly, not compounded
TD-SEN	FinTrust Senior Citizen Deposit	Cumulative or income, with the premium in paragraph 9.5
TD-TAX	FinTrust Tax Saver Deposit	Five-year lock-in, governed by Section 13
TD-REC	FinTrust Recurring Deposit	Monthly instalments, governed by Section 12
TD-FLX	FinTrust Flexi Deposit	Linked to a savings or current account under a sweep arrangement
TD-NCL	FinTrust Non-Callable Deposit	Not withdrawable before maturity, governed by Section 15

5.2 Cumulative and Income Variants

On a cumulative deposit, interest is compounded quarterly and paid with the principal at maturity. On an income deposit, interest is paid out at the stated interval to a nominated account without compounding, and the rate for a monthly payout is discounted to its present value so that the yield is equivalent. The depositor shall be told at acceptance which basis applies and shall be shown the maturity value or the payout amount in figures.

5.3 Flexi Deposits

A flexi deposit is created automatically from the balance in a linked savings or current account above the threshold recorded by the customer, in the multiple recorded, and for the tenure recorded. Where funds are required to meet a debit in the linked account, the deposit is broken in reverse order of creation and only to the extent required. A break under a sweep arrangement is a premature withdrawal and attracts the treatment in Section 14, and the customer shall be told this in writing when the arrangement is set up and shall acknowledge it.

5.4 Deposits for Minors

A deposit may be accepted in the name of a minor, operated by the guardian, or by the minor independently where the minor has attained the age at which independent operation is permitted under the Savings Account Policy. On attaining majority the depositor shall furnish a fresh specimen signature and complete due diligence, and until then repayment shall be made only to the guardian or against the guardian's countersignature.

5.5 Deposits by Non-Individuals

A term deposit may be accepted from an entity of any constitution that is eligible to maintain an account with the Bank, subject to due diligence appropriate to that constitution as set out in the Current Account Policy. Nomination is not available in respect of a deposit held by an entity having a legal personality separate from its members.

6. Acceptance of Deposits

6.1 Eligible Depositors

A term deposit may be accepted from any person or entity eligible to maintain a deposit account with the Bank under the Savings Account Policy or the Current Account Policy, and from a minor in accordance with paragraph 5.4.

6.2 Deposits Not to Be Accepted

A deposit shall not be accepted where customer due diligence is incomplete; from a person appearing on a designated sanctions list or with whom the Bank is prohibited from dealing; in cash beyond the threshold prescribed by law without the identification required; where the source of funds cannot be satisfactorily explained and the case has not been cleared by the Financial Intelligence Unit; or where acceptance would contravene any regulatory direction.

6.3 Mode of Receipt

A deposit may be funded by debit to an account maintained with the Bank, by electronic transfer from an account maintained elsewhere in the depositor's own name, by cheque, or in cash within the limits prescribed by law. A deposit shall not be funded from an account in the name of a third party unless the relationship is established and recorded, and the source of funds examined.

6.4 Solicitation

Staff shall not represent that a rate is available which is not the published card rate for the applicable slab and bucket, shall not offer any inducement outside the published rate, and shall not represent that a deposit carries any guarantee, protection or benefit beyond those stated in this Policy and the deposit advice.

6.5 No Bundling

The acceptance of a deposit shall not be made conditional on the purchase of any other product, and no product carrying a charge or premium payable by the depositor shall be sold as part of the deposit acceptance process. Any such product shall be offered separately, with separate disclosure and separately recorded consent.

7. Account Opening, Due Diligence and Deposit Advice

7.1 Due Diligence

The standard of customer due diligence applicable to a term deposit is that applicable to a savings account or, for an entity, to a current account. Where the depositor already maintains an account with the Bank and due diligence is current, it need not be repeated, and the Bank shall not require fresh documentation as a condition of accepting a deposit from an existing customer whose records are up to date.

7.2 Disclosure Before Acceptance

Before a deposit is accepted the depositor shall be told, and the disclosure recorded:

- The principal amount, the tenure and the maturity date.
- The contracted rate, and whether the deposit is cumulative or income.
- The compounding frequency and the basis of computation.
- The maturity value in figures, or the periodic payout amount in figures.
- The premature withdrawal terms, including the penalty, expressed in figures for a representative early date.
- Whether the deposit is callable or non-callable, and where non-callable, that it cannot be withdrawn at all before maturity.
- The maturity instruction recorded, being repayment or renewal.
- That the deposit is insured to the extent stated in Section 20, and that insurance is aggregated with the depositor's other deposits.
- The availability of a loan or overdraft against the deposit under Section 17 as an alternative to premature withdrawal.

7.3 Deposit Advice

A deposit advice shall be issued at acceptance, and in any event within one business day, recording the particulars in paragraph 7.2, the deposit reference number, the nomination recorded or the declination, and the mode of maturity payment. The advice shall be issued to the depositor directly, through the registered electronic channel or at the branch, and shall be available in the digital channels at all times.

7.4 Physical Receipts

Where the Bank issues a physical deposit receipt, it shall be issued against acknowledgement and the depositor shall be told that its loss does not affect the deposit. On loss, a duplicate shall be issued within three business days against an indemnity in the prescribed form, without charge, and the Bank shall not require a surety or an advertisement.

7.5 Nomination

Nomination shall be actively offered in respect of every deposit held by an individual and shall be recorded within two business days. Where the depositor declines, the declination shall be recorded in writing and signed. The nominee's name shall be shown on the deposit advice where the depositor has consented. A nomination may be made, varied or cancelled at any time, and the Bank shall not levy any charge for doing so.

7.6 Standing Maturity Instruction

The depositor shall record a maturity instruction at acceptance, being repayment to a nominated account or renewal on the terms in Section 16. The instruction may be varied at any time before maturity through any channel, without charge.

8. Tenure, Amounts and Charges

8.1 Tenure

A term deposit may be accepted for a period of not less than seven days and not more than one hundred and twenty months. A deposit for a period exceeding one hundred and twenty months shall not be accepted except under an order of a competent authority or in respect of a deposit held on behalf of a minor until majority, and shall require the approval of the Head of Retail Liabilities.

8.2 Minimum and Maximum Amounts

Variant	Minimum	Maximum
Fixed Deposit, cumulative or income	Rs. 5,000	No limit
Fixed Deposit, tenure of 7 to 14 days	Rs. 1,00,000	No limit
Senior Citizen Deposit	Rs. 5,000	No limit
Tax Saver Deposit	Rs. 1,000, in multiples of Rs. 100	Rs. 1,50,000 per financial year
Recurring Deposit	Rs. 500 per month, in multiples of Rs. 100	Rs. 1,00,000 per month
Flexi Deposit	Rs. 10,000 per sweep	No limit
Non-Callable Deposit	Rs. 1,00,00,000	No limit

8.3 Deposits in Multiples

A deposit may be accepted in any amount above the applicable minimum and need not be in round figures. Staff shall not require a depositor to round an amount upward.

8.4 Splitting

A depositor may place a single amount as several deposits of smaller amounts and different tenures, and the Bank shall facilitate this where the depositor asks for it. Staff shall explain that splitting permits a partial premature withdrawal without disturbing the whole, and shall offer it where the depositor expresses uncertainty about the tenure. The Bank shall not split a deposit without instruction.

8.5 Partial Withdrawal

Where a deposit is not a tax saver deposit or a non-callable deposit, the depositor may withdraw a part of it before maturity. The amount withdrawn is treated as a premature withdrawal under Section 14, and the balance continues at the contracted rate for the original tenure without any change to its terms. The Bank shall not require the whole deposit to be broken where a part will meet the depositor's need, and shall tell the depositor so.

8.6 Charges

Service	Charge
Acceptance of a deposit	Nil
Deposit advice, and any duplicate	Nil
Duplicate deposit receipt on loss	Nil

Service	Charge
Recording, variation or cancellation of nomination	Nil
Variation of maturity instruction	Nil
Premature withdrawal	No charge; the rate treatment in Section 14 applies
Partial withdrawal	Nil
Interest certificate and tax certificate	Nil
Balance or holding certificate	Nil
Loan or overdraft against deposit, processing	Nil
Foreclosure of a loan against deposit	Nil

No charge shall be levied in connection with a term deposit that is not in this paragraph.

9. Interest Rates and Rate Setting

9.1 Rate Setting

Card rates are determined by the Product and Pricing Committee within the methodology approved by the Asset and Liability Committee, having regard to the Bank's funding requirement, the shape of the yield curve, the cost of alternative funding and the competitive position. Rates are published for each combination of amount slab and tenure bucket.

9.2 Uniformity and Non-Discrimination

The rate offered to a depositor shall be the card rate in force on the date of acceptance for the applicable amount slab and tenure bucket. The rate shall not be varied by reference to the identity of the depositor, the branch at which the deposit is placed, the channel through which it was sourced, the depositor's relationship value, or any negotiation. Two depositors placing the same amount for the same tenure on the same day shall receive the same rate.

The only permitted differentiations are those in paragraphs 9.5 and 11.2. This paragraph admits of no exception.

9.3 Publication

The complete rate card shall be displayed at every branch, published on the Bank's website, and available through the contact centre and the digital channels. A revision shall be published before it takes effect and shall record the date and time from which it applies.

9.4 Rates Fixed for the Tenure

The contracted rate applies for the whole of the tenure and shall not be varied, whether the card rate subsequently rises or falls. A depositor is not entitled to the benefit of a subsequent increase, and the Bank shall not seek the benefit of a subsequent decrease.

9.5 Senior Citizens

A depositor who has attained the age of sixty years is entitled to a premium of 0.50% per annum above the applicable card rate, on deposits of tenure six months or more, up to an aggregate principal of Rs. 3,00,00,000 across all deposits of that depositor. The premium applies from the date of acceptance where age is evidenced at that date, and from the date evidence is furnished where it is furnished later, without retrospective effect.

Where a deposit is held jointly, the premium applies where the first-named depositor is a senior citizen. The premium does not apply to a non-callable deposit or to a bulk deposit priced under paragraph 11.2.

9.6 Indicative Card Rates

The following are indicative for deposits below Rs. 3,00,00,000 and are subject to revision. The prevailing rates published under paragraph 9.3 apply.

Tenure bucket	Rate per annum	Senior citizen rate
7 to 14 days	3.00%	3.00%
15 to 45 days	3.75%	3.75%
46 to 90 days	4.75%	4.75%

Tenure bucket	Rate per annum	Senior citizen rate
91 to 180 days	5.75%	6.25%
181 days to 1 year	6.50%	7.00%
Above 1 year to 2 years	7.00%	7.50%
Above 2 years to 3 years	7.25%	7.75%
Above 3 years to 5 years	7.00%	7.50%
Above 5 years to 10 years	6.75%	7.25%
Tax Saver, 5 years	7.00%	7.50%

9.7 Rate on a Deposit Accepted After Cut-Off

A deposit funded after the cut-off time published for the channel is accepted with effect from the next business day, and the card rate in force on that day applies. The cut-off shall be published and shall not be varied without notice.

10. Computation and Payment of Interest

10.1 Basis

Interest on a term deposit is computed on the principal for the actual number of days, on the basis of a year of three hundred and sixty-five days, or three hundred and sixty-six in a leap year. On a cumulative deposit, interest is compounded quarterly on the calendar quarter, and the accrued interest is added to the principal for the computation of further interest.

10.2 Deposits of Less Than Six Months

On a deposit of tenure less than six months, interest is computed on a simple basis for the actual number of days and paid at maturity, without compounding.

10.3 Income Deposits

On an income deposit, interest is paid to the account nominated by the depositor at monthly or quarterly intervals as elected. Where the election is monthly, the rate applied is the applicable card rate discounted to its present value so that the yield is equivalent to a quarterly payout. The depositor shall be shown the monthly payout in figures before electing.

10.4 Payment Dates

Interest on an income deposit shall be credited on the last business day of the month or quarter, as applicable. Where a payment date falls on a day that is not a business day, credit shall be made on the next business day, and the delay shall not reduce the interest computed.

10.5 Maturity Proceeds

On maturity, the maturity value shall be credited to the account recorded in the maturity instruction on the maturity date itself. Where the maturity date is not a business day, credit shall be made on the next business day and interest shall be paid at the contracted rate for the intervening days.

10.6 Delay by the Bank

Where the Bank fails to credit interest or maturity proceeds on the due date for a reason attributable to the Bank, it shall pay compensation at the rate of Rs. 100 per day of delay in addition to the interest due, credited automatically without the depositor having to claim it.

10.7 Rounding

Interest shall be rounded to the nearest rupee, with fifty paise and above rounded up. Rounding shall not be applied in a manner that systematically favours the Bank.

11. Bulk Deposits and Differential Rates

11.1 Bulk Deposits

A single term deposit of Rs. 3,00,00,000 or more is a bulk deposit. The Bank shall maintain a separate rate card for bulk deposits, published in the same manner as the retail card.

11.2 Differential Rates

The Bank may offer a rate on a bulk deposit that differs from the retail card rate for the same tenure. Any such rate shall be within the bulk rate card in force, shall be applied uniformly to all bulk deposits of the same amount slab and tenure bucket accepted on the same day, and shall not be negotiated with an individual depositor.

Where the Bank's funding requirement warrants a rate outside the published bulk card, the rate shall be approved by the Asset and Liability Committee, shall be published as a revision to the bulk card before acceptance, and shall then be available to every depositor meeting the slab and tenure conditions. A rate shall not be offered to one depositor and withheld from another.

11.3 Premature Withdrawal of a Bulk Deposit

A bulk deposit accepted as callable is subject to Section 14. The Bank may require that a bulk deposit be accepted as non-callable under Section 15, and where it does so the depositor shall be told before acceptance and shall acknowledge it in writing.

11.4 Record and Reporting

Every bulk deposit shall be recorded with the rate applied and the card in force on the date of acceptance. Treasury shall report monthly to the Asset and Liability Committee the bulk deposits accepted, the rates applied, and any instance in which a rate outside the published card was applied.

12. Recurring Deposits

12.1 Nature

A recurring deposit is built up by instalments of a fixed amount at monthly intervals over an agreed tenure, on which interest is computed at the applicable card rate for that tenure and compounded quarterly.

12.2 Tenure and Instalment

The tenure shall be not less than six months and not more than one hundred and twenty months. The instalment shall be fixed at acceptance and shall not be varied during the tenure. A depositor who wishes to save a larger amount shall be advised to open a second recurring deposit rather than vary the instalment.

12.3 Payment of Instalments

Instalments shall be collected by standing instruction on an account maintained with the Bank, or by direct debit under a mandate on an account maintained elsewhere. The due date shall be that elected by the depositor at acceptance.

12.4 Default in an Instalment

Where an instalment is not received by the due date, the Bank shall inform the depositor within three business days. A default charge of Rs. 10 per Rs. 1,000 of the instalment per month of delay may be levied, subject to a maximum of Rs. 100 per instalment. The charge shall be deducted from the maturity value and shall be disclosed at acceptance.

The Bank shall not close a recurring deposit by reason of default in instalments, and shall not forfeit interest already accrued.

12.5 Consecutive Defaults

Where six consecutive instalments remain unpaid, the Bank shall contact the depositor and offer the options of resuming instalments, curtailing the tenure to the period for which instalments were paid, or closing the deposit and receiving the amount accumulated with interest for the period run. Where the depositor does not respond within sixty days, the deposit shall be closed and the amount accumulated repaid with interest computed at the card rate for the period actually run, without any premature withdrawal penalty.

12.6 Advance Instalments

A depositor may pay instalments in advance. Interest on an advance instalment shall be computed from the date of receipt and not from the due date.

12.7 Premature Closure

A recurring deposit may be closed before maturity, and Section 14 applies, the period run being the period from the first instalment to the date of closure.

13. Tax Saver Deposits

13.1 Nature

A tax saver deposit is a term deposit of five years accepted in a form qualifying for the deduction available under the applicable tax law. The Bank does not offer tax advice, and the depositor shall be told to consult their own adviser as to the availability of any deduction.

13.2 Restrictions

A tax saver deposit:

- Shall be for a tenure of exactly five years, and shall not be accepted for any other tenure.
- Shall not be withdrawn before maturity in any circumstance, save on the death of the depositor under paragraph 13.4.
- Shall not be pledged, assigned or offered as security, and no loan or overdraft shall be granted against it.
- Shall not exceed Rs. 1,50,000 in a financial year across all such deposits of the depositor with the Bank.
- Shall be held singly or jointly, and where held jointly the deduction is available to the first-named depositor alone.

These restrictions shall be disclosed in writing before acceptance and acknowledged by the depositor.

13.3 Nomination

Nomination is available and shall be actively offered. Where a nomination is made, paragraph 13.4 applies on the death of the depositor.

13.4 Death of the Depositor

On the death of the depositor before the expiry of five years, the deposit may be repaid to the nominee, the survivor or the legal heirs as the case requires, before maturity and without any penalty, on production of proof of death. This is the only circumstance in which a tax saver deposit may be repaid before maturity.

13.5 Maturity

On maturity the proceeds shall be credited to the account recorded in the maturity instruction. A tax saver deposit shall not be renewed automatically; the depositor shall be contacted before maturity and the proceeds shall be repaid where no instruction is received, and shall not be rolled into a fresh tax saver deposit without express instruction.

14. Premature Withdrawal

14.1 Right to Withdraw

A depositor may withdraw a callable term deposit, in whole or in part, at any time before maturity. The Bank shall not refuse a withdrawal, shall not require a reason, and shall not require the depositor to attend the branch at which the deposit was placed.

14.2 Rate on Premature Withdrawal

On a premature withdrawal, interest shall be paid at the card rate that was in force on the date of acceptance of the deposit for the period the deposit has actually run, less the penalty in paragraph 14.3. Where the period actually run is less than the minimum tenure for which the Bank accepts deposits, no interest shall be payable.

The rate applied shall never exceed the contracted rate. Where the card rate for the period run is higher than the contracted rate, the contracted rate applies.

14.3 Penalty

Deposit amount	Penalty
Up to Rs. 5,00,000	0.50% per annum
Above Rs. 5,00,000 and up to Rs. 3,00,00,000	1.00% per annum
Bulk deposit, where accepted as callable	1.00% per annum

The penalty is a reduction in the rate applied and is not a charge levied on the depositor. It shall not exceed the percentage disclosed at acceptance, and shall not be applied in a manner that results in the depositor receiving less than the principal.

14.4 Where No Penalty Applies

No penalty shall be applied on a premature withdrawal:

- Made on the death of the depositor, under Section 19.
- Of a deposit held by a minor, where the withdrawal is required for the minor's education or medical treatment and the guardian so certifies.
- Where the withdrawal is required to meet a demand of the Bank under a facility secured by the deposit, under paragraph 17.6.
- Where the deposit was accepted in error, or on incorrect information given by the Bank.
- Of a recurring deposit closed under paragraph 12.5.
- Where the Bank has revised the terms of a sweep arrangement and the depositor does not accept the revision.

14.5 Partial Withdrawal

On a partial withdrawal, the penalty applies only to the amount withdrawn. The balance continues at the contracted rate for the original tenure, and no penalty, recomputation or change of rate shall be applied to it. The Bank shall tell the depositor this before the withdrawal is effected.

14.6 Alternative of Borrowing

Before effecting a premature withdrawal the Bank shall tell the depositor of the alternative of a loan or overdraft against the deposit under Section 17, shall show in figures the cost of each course, and shall record that it has done so. The Bank shall not steer the depositor toward either course, and shall give effect to the depositor's choice.

14.7 Timing

A premature withdrawal shall be effected and the proceeds credited on the same business day where the request is received before the published cut-off, and on the next business day otherwise.

15. Non-Callable Deposits

15.1 Nature

A non-callable deposit is one which the depositor has agreed may not be withdrawn before maturity in any circumstance other than those in paragraph 15.4. In consideration of that agreement the Bank offers a rate above the callable card rate for the same tenure.

15.2 Minimum Amount

A non-callable deposit shall not be accepted for less than Rs. 1,00,00,000. A deposit below that amount shall be accepted as callable notwithstanding any request or agreement to the contrary.

15.3 Disclosure and Acknowledgement

Before a non-callable deposit is accepted, the Bank shall disclose in writing that the deposit cannot be withdrawn before maturity in any circumstance other than those in paragraph 15.4, that this is so however urgent the depositor's need may become, and that the alternative of a callable deposit at a lower rate is available. The depositor shall acknowledge the disclosure by signature or authenticated electronic acceptance. A deposit shall not be accepted as non-callable without that acknowledgement on file.

15.4 Circumstances of Repayment Before Maturity

A non-callable deposit shall be repaid before maturity only:

- On the death of the depositor, under Section 19, without penalty.
- Under an order of a court or other competent authority.
- On the winding up or liquidation of a depositor that is an entity.
- Where the deposit was accepted in error or contrary to paragraph 15.2.

15.5 Loan Against a Non-Callable Deposit

A loan or overdraft against a non-callable deposit is available under Section 17 on the same terms as against a callable deposit. The Bank shall draw the depositor's attention to this at acceptance, since it is the only means by which the depositor may realise value from the deposit before maturity.

15.6 Prohibition on Conversion

A callable deposit shall not be converted into a non-callable deposit during its tenure, and a non-callable deposit shall not be converted into a callable deposit. A depositor wishing to change the basis must allow the deposit to mature.

16. Maturity, Renewal and Overdue Deposits

16.1 Notice Before Maturity

The Bank shall notify the depositor of the approaching maturity of every deposit not less than fifteen days before the maturity date, through the registered channels, stating the maturity date, the maturity value, the maturity instruction recorded, and the means of varying it. A second notice shall be sent five days before maturity where no instruction is on record.

16.2 Repayment on Maturity

Where the maturity instruction is repayment, the maturity value shall be credited to the recorded account on the maturity date, without the depositor having to make a request.

16.3 Automatic Renewal

Where the maturity instruction is renewal, the deposit shall be renewed on the maturity date for the tenure recorded, at the card rate in force on that date for the applicable slab and bucket. A renewal advice shall be issued within one business day. Automatic renewal shall not be applied to a tax saver deposit or where the depositor has not recorded such an instruction.

16.4 Where No Instruction Is on Record

Where no maturity instruction is on record and the depositor cannot be contacted, the deposit shall not be renewed. The maturity value shall be held and shall attract interest under paragraph 16.5, and the Bank shall continue to attempt to contact the depositor at monthly intervals.

16.5 Interest on an Overdue Deposit

Where a deposit has matured and the proceeds remain unclaimed, interest shall be paid on the maturity value for the period from the maturity date to the date of repayment or renewal at the rate applicable to a savings deposit, being the rate in force under the Savings Account Policy from time to time.

Where the depositor subsequently instructs renewal with effect from the maturity date, the Bank shall renew from that date at the card rate in force on the maturity date, and the savings rate interest already credited shall be adjusted. Where the depositor instructs renewal with effect from the date of the instruction, the savings rate applies for the intervening period and the card rate in force on the date of instruction applies thereafter. The Bank shall explain both options and shall give effect to the depositor's choice.

This paragraph admits of no exception, and no officer may apply a rate lower than the savings rate to an overdue deposit.

16.6 Renewal Before Maturity

A depositor may renew a deposit before maturity, and the renewal takes effect from the maturity date at the card rate in force on the date of the renewal instruction. Where the deposit is closed before maturity in order to place a fresh deposit at a higher rate, that closure is a premature withdrawal and Section 14 applies; the Bank shall tell the depositor so and shall show the net effect in figures before acting.

16.7 Repayment

Maturity proceeds shall be paid by credit to an account in the depositor's own name. Payment shall not be made in cash except within the limits prescribed by law and against identification, and shall not be made to any third party except under a valid mandate or an order of a competent authority.

17. Loan and Overdraft Against a Deposit

17.1 Availability

A depositor may obtain a loan or an overdraft against a term deposit held with the Bank. The facility is available against a callable deposit, a non-callable deposit and a recurring deposit, and is not available against a tax saver deposit.

17.2 Amount

The facility shall not exceed 90% of the principal of the deposit, or 90% of the accrued value where the deposit is cumulative and has run for more than one year. Where the deposit is held jointly, every holder shall join in the request and in the security documentation.

17.3 Rate

Interest on the facility shall be charged at 1.00% per annum above the contracted rate on the deposit, on the amount and for the period actually utilised, computed on the daily outstanding balance and debited monthly. No commitment charge shall be levied on an unutilised limit.

17.4 Charges

No processing fee, documentation charge, foreclosure charge or any other charge shall be levied in connection with a facility against a deposit.

17.5 Tenure

The facility shall not extend beyond the maturity date of the deposit. Where the deposit is renewed, the facility may be continued against the renewed deposit on fresh documentation, and the rate shall be reset to 1.00% above the rate contracted on renewal.

17.6 Repayment and Adjustment

The facility shall be repaid on or before the maturity of the deposit. Where it is not, the Bank may adjust the maturity proceeds against the amount outstanding, and shall inform the depositor before doing so. Where the Bank calls the facility before the maturity of the deposit, the deposit may be broken to meet it and no premature withdrawal penalty shall apply, under paragraph 14.4.

17.7 Comparison with Premature Withdrawal

Where a depositor asks about accessing funds before maturity, the Bank shall present the comparison required by paragraph 14.6 in figures, covering the interest forgone on a premature withdrawal and the interest payable on a facility, over the period for which the funds are required. The comparison shall be recorded on the file.

18. Nomination, Joint Holdings and Survivorship

18.1 Nomination

Nomination is available in respect of every deposit held by an individual, singly or jointly, and shall be actively offered at acceptance and at every renewal where none subsists. Only one nominee may be appointed. Where the nominee is a minor, the depositor shall appoint a person to receive the amount on the minor's behalf during minority.

A nomination may be made, varied or cancelled at any time by the depositor, or by all joint depositors acting together, and shall be recorded within two business days with an acknowledgement issued to the depositor.

18.2 Joint Holdings

A deposit may be held in the names of not more than four persons. The depositors shall specify the mode of repayment as jointly, either or survivor, former or survivor, or anyone or survivor, and the Bank shall act only in accordance with it.

18.3 Premature Withdrawal of a Joint Deposit

Where a deposit is held jointly, a premature withdrawal requires the joint signatures of all depositors, unless the depositors have at acceptance expressly authorised that it may be made by the survivor or survivors, or by any one of them, and that authorisation is recorded. The authorisation shall be sought at acceptance and the depositors shall be told why it matters.

18.4 Survivorship

Where a survivorship mandate subsists, on the death of a depositor the maturity proceeds or, at the survivor's request, the premature withdrawal proceeds shall be paid to the survivor without requiring succession documentation and without requiring the consent of the legal heirs of the deceased. Payment to the survivor is a valid discharge of the Bank's liability.

18.5 Addition and Deletion of a Holder

A holder shall not be added to or deleted from a subsisting deposit. Where the depositors wish to change the holding, the deposit shall be closed and a fresh deposit placed; the closure is a premature withdrawal and Section 14 applies, and the depositors shall be told so before acting.

19. Settlement of Claims of Deceased Depositors

19.1 Principle

The Bank shall settle claims in respect of the deposits of deceased depositors promptly, sympathetically and without insisting on documentation beyond what is necessary. Claim settlement is a service obligation and shall not be treated as a recovery or risk event.

19.2 No Penalty

Where a deposit is repaid before maturity on the death of the depositor, no premature withdrawal penalty shall be applied, and interest shall be paid at the contracted rate for the period the deposit has run. This applies to a callable deposit, a non-callable deposit, a recurring deposit and a tax saver deposit alike.

19.3 Survivorship and Nomination

Where a survivorship mandate subsists, paragraph 18.4 applies. Where a valid nomination subsists, the amount shall be paid to the nominee on production of proof of death and identification of the nominee, without requiring a succession certificate, indemnity or surety. The nominee receives the amount as a trustee for the legal heirs, and payment to the nominee is a valid discharge of the Bank's liability.

19.4 Neither Survivorship Nor Nomination

Where there is neither, the claim shall be settled in favour of the legal heirs. For an aggregate of deposits up to Rs. 10,00,000, settlement may be made against a claim form, proof of death, proof of relationship, an indemnity and a declaration by the claimants, without insisting on a succession certificate. Above that threshold the Bank may require legal representation, and the requirement shall be approved by the Regional Head with reasons recorded.

19.5 Option to Continue

Where a deposit has not matured, the claimant may elect to allow it to continue to maturity rather than take premature repayment. The Bank shall offer this election, shall show the difference in figures, and shall give effect to the choice. Where the deposit continues, it shall be redesignated in the name of the person entitled.

19.6 Turnaround

A complete claim shall be settled within fifteen days of receipt. Where it cannot be, the claimant shall be informed in writing of the reason and the expected date. Where the delay is attributable to the Bank, interest shall be paid for the period of delay at the contracted rate plus two per cent per annum.

20. Deposit Insurance, Unclaimed Deposits and Tax

20.1 Deposit Insurance

Term deposits are insured by the deposit insurance corporation up to the limit prescribed from time to time, currently Rs. 5,00,000 per depositor per bank in the same right and capacity. The premium is borne entirely by the Bank and shall not be recovered from depositors in any form.

20.2 Aggregation

For the purpose of the limit, all deposits held by a depositor with the Bank in the same right and capacity are aggregated, including savings deposits, current account balances, term deposits and recurring deposits. Deposits held in different capacities, such as in an individual capacity and as guardian of a minor, are treated separately.

Staff shall not represent that the limit applies separately to each deposit, to each account, or to each branch. Where a depositor places an amount exceeding the limit, the position shall be explained and recorded.

20.3 Disclosure

The fact and extent of insurance coverage shall be displayed at every branch and on the Bank's website, and shall be stated in the deposit advice issued under paragraph 7.3.

20.4 Unclaimed Deposits

A deposit which has matured and has remained unclaimed for ten years, together with the interest accrued on it under paragraph 16.5, shall be transferred to the fund prescribed for unclaimed deposits. Transfer does not extinguish the depositor's claim. On a claim being made, the Bank shall pay the amount together with interest as prescribed and shall recover from the fund in the prescribed manner.

20.5 Search Facility

The Bank shall maintain on its website a facility enabling a member of the public to search for unclaimed deposits by name and other identifying particulars, covering term deposits as well as savings and current accounts, and shall publish the procedure for lodging a claim.

20.6 Tax Deducted at Source

Tax shall be deducted at source from interest on term deposits where the law so requires, at the rate in force, and shall be deducted at the time of credit or payment of interest as the law prescribes. Interest across all deposits of the depositor with the Bank shall be aggregated for this purpose.

20.7 Declarations

Where a depositor furnishes a declaration in the prescribed form for non-deduction of tax, the Bank shall give effect to it from the date of receipt and shall not deduct tax thereafter for that financial year. A declaration shall not be given retrospective effect, and the Bank shall tell the depositor at acceptance and at the start of each financial year that a fresh declaration is required for that year.

20.8 Certificates

A certificate of tax deducted shall be issued within the period prescribed. An interest certificate showing the interest credited and the tax deducted shall be furnished annually without charge, and at any time on request without charge, and shall be available in the digital channels.

20.9 Refund of Excess Deduction

Where tax has been deducted in excess through an error of the Bank, the Bank shall refund the excess where it is able to do so within the same financial year, and shall otherwise furnish the depositor with the particulars required to claim it, together with a letter recording the error. No charge shall be levied in either case.

21. Confidentiality, Data Protection and Anti-Money Laundering

21.1 Confidentiality

Information relating to a depositor and to a deposit is confidential, and the duty survives the repayment of the deposit. Disclosure is permitted only where compelled by law or an order of a competent authority, where there is a duty to the public to disclose, where the interests of the Bank require it and then only to the minimum extent necessary, or where the depositor has given express and informed consent.

21.2 Marketing

Deposit data shall not be used to market other products, and shall not be shared with any group entity or partner for that purpose, without the depositor's express consent, which may be withdrawn at any time without affecting the deposit or its rate.

21.3 Access, Correction and Retention

A depositor is entitled to a copy of the information held about them and to require correction of any inaccuracy, which shall be given effect within ten business days or refused in writing with reasons. Records of identity and of deposits shall be retained for five years from the repayment of the deposit or the cessation of the relationship, whichever is later, and until the conclusion of any proceeding relating to the deposit.

21.4 Security

Access to depositor data shall be on the principle of least privilege and shall be logged, with logs reviewed monthly. A service provider handling depositor data shall be bound by confidentiality obligations no less stringent than the Bank's own, shall be subject to audit, and shall not sub-contract without written consent. A suspected breach shall be reported to the Chief Information Security Officer within two hours of detection and affected depositors notified without undue delay where harm is likely.

21.5 Anti-Money Laundering

Term deposits are subject to the Bank's AML/CFT framework. The following warrant attention:

- A deposit funded in cash, or in a series of cash payments, disproportionate to the depositor's known profile.
- A deposit placed for a long tenure and broken shortly afterwards with apparent indifference to the penalty.
- A deposit funded from an account of a third party with no established relationship to the depositor.
- A deposit pledged to secure a facility of a third party, particularly where the depositor and the borrower have no apparent connection.
- Frequent placement and premature withdrawal of deposits in a pattern lacking economic purpose.
- A deposit placed by a person for whom the source of funds cannot be satisfactorily explained.

21.6 Reporting

Reports shall be filed with the financial intelligence authority within the prescribed timelines. Staff shall not disclose to a depositor or to any other person that a report has been or may be filed, or that a deposit is under investigation, notwithstanding any request or complaint.

22. Grievance Redressal, Roles and Policy Review

22.1 Grievance Channels and Escalation

A grievance may be lodged at any branch, through the contact centre, through the complaint form on the Bank's website or mobile application, by letter, or by electronic mail to the published grievance address. Every grievance shall be acknowledged, tracked through a unique reference number, and closed only with a substantive response.

Level	Authority	Resolution time
1	Branch Manager or Contact Centre Supervisor	7 business days
2	Regional Nodal Officer	14 business days
3	Principal Nodal Officer	21 business days
4	Internal Ombudsman	30 days
5	External Banking Ombudsman	As prescribed by the scheme

A grievance the Bank proposes to reject wholly or partly shall be referred to the Internal Ombudsman before the decision is communicated. The right to approach the external Banking Ombudsman shall be stated in every final response.

22.2 Responsibility Matrix

Role	Responsibility
Board of Directors	Approval of the Policy; oversight of its operation
Risk Management Committee	Recommendation of the Policy; review of exception reporting
Asset and Liability Committee	Rate setting methodology; tenure buckets and amount slabs; bulk rates outside the card
Product and Pricing Committee	Card rates within the methodology; charges
Head of Retail Liabilities	Policy ownership; deposits beyond 120 months; alignment with the account policies
Head of Treasury	Bulk deposit rate recommendations and reporting
Branch Manager	Application at the point of contact; disclosure before acceptance
Regional Head	Claim settlement above the threshold in paragraph 19.4
Head of Compliance	Regulatory alignment; Exception Register
Internal Audit	Independent assurance, including rate application testing

22.3 Approval Authority for Exceptions

Exception type	Approving authority
Deposit for a tenure exceeding 120 months	Head of Retail Liabilities

Exception type	Approving authority
Bulk rate outside the published bulk card	Asset and Liability Committee, with republication
Claim settlement above Rs. 10,00,000 without legal representation	Regional Head
Waiver of a recurring deposit default charge	Branch Manager
Departure from paragraph 9.2, Section 14, Section 15 or paragraph 16.5	Not permitted

22.4 Monitoring

Compliance shall conduct thematic testing at least twice each financial year, covering rate application against the card in force, uniformity within slabs, disclosure before acceptance and its recording, nomination coverage, maturity notice issuance, treatment of overdue deposits, premature withdrawal computation and penalty application, the comparison required by paragraph 14.6, non-callable acknowledgements on file, claim settlement turnaround, and tax deduction accuracy. Internal Audit shall test a sample of deposits accepted in each quarter against the published card.

22.5 Key Indicators

- Deposits accepted, by variant, tenure bucket and channel.
- Instances of a rate applied differing from the card in force, and the cause.
- Proportion of deposits with a nomination recorded, and with a maturity instruction recorded.
- Maturity notices issued fifteen days in advance.
- Overdue deposits outstanding, their age, and interest paid under paragraph 16.5.
- Premature withdrawals, penalty applied, and cases falling within paragraph 14.4.
- Instances where the comparison under paragraph 14.6 was recorded.
- Non-callable deposits accepted, and acknowledgements on file.
- Claims settled within fifteen days; compensation paid under paragraph 19.6.
- Deposits transferred to the unclaimed deposits fund, and claims received against them.
- Grievances received per ten thousand deposits, and the proportion resolved at Level 1.

22.6 Training

Every member of staff in a role involving deposit acceptance or servicing shall complete certification on this Policy within thirty days of joining and annually thereafter. Certification shall be a condition of continued authorisation to accept deposits or to compute a premature withdrawal.

22.7 Policy Review and Amendment

This Policy shall be reviewed at least once every financial year by the Retail Liabilities Group in consultation with Treasury, Compliance, Risk, Operations and Legal, and placed before the Board through the Risk Management Committee. An interim amendment may be initiated on a change in regulatory direction, the introduction or withdrawal of a variant, a finding from audit or thematic testing, or a material adverse trend in grievance data. Where a regulatory direction takes effect before the Policy can be amended, the direction applies from its effective date and Compliance shall issue an interim instruction. An approved amendment shall be communicated to staff within seven days, incorporated into training within thirty days,

and notified to depositors where it affects them. The version history is maintained in Annexure D and superseded versions retained for ten years.

Annexure A: Rate Card Structure

A.1 Structure

The rate card is published as a matrix of amount slabs against tenure buckets. A single rate applies to every deposit falling within a given cell, and the cell is determined by the principal amount and the contracted tenure, not by the depositor.

Amount slab	Card published
Below Rs. 3,00,00,000	Retail card
Rs. 3,00,00,000 and above	Bulk card

A.2 Tenure Buckets

Bucket	Period
1	7 to 14 days
2	15 to 45 days
3	46 to 90 days
4	91 to 180 days
5	181 days to 1 year
6	Above 1 year to 2 years
7	Above 2 years to 3 years
8	Above 3 years to 5 years
9	Above 5 years to 10 years

A.3 Permitted Differentiation

Basis	Permitted	Reference
Amount slab	Yes	Paragraph 9.1
Tenure bucket	Yes	Paragraph 9.1
Senior citizen status	Yes, 0.50% up to Rs. 3,00,00,000 aggregate	Paragraph 9.5
Bulk deposit, within the published bulk card	Yes	Paragraph 11.2
Non-callable, within the published card	Yes	Paragraph 15.1
Relationship value or total balances	No	Paragraph 9.2
Branch, channel or sourcing agent	No	Paragraph 9.2
Negotiation with an individual depositor	No	Paragraphs 9.2 and 11.2
Employee, director or connected person status	No	Paragraph 9.2

Annexure B: Illustrative Computations

B.1 Maturity Value of a Cumulative Deposit

A deposit of Rs. 5,00,000 placed for three years at the card rate of 7.25% per annum, compounded quarterly.

Item	Amount
Principal	Rs. 5,00,000
Rate	7.25% per annum, compounded quarterly
Tenure	36 months
Interest over the tenure	Rs. 1,20,273
Maturity value	Rs. 6,20,273

For a senior citizen the rate would be 7.75%, the maturity value Rs. 6,29,474, and the additional interest Rs. 9,201.

B.2 Premature Withdrawal of the Same Deposit at 18 Months

The deposit above is withdrawn in full after 18 months. The card rate in force on the date of acceptance for a tenure of 18 months was 7.00%. The penalty for an amount below Rs. 5,00,001 is 0.50%; this deposit is Rs. 5,00,000 and therefore attracts 0.50%. For illustration the table shows both the applicable penalty and the higher slab.

Basis	Rate applied	Amount payable
Card rate for 18 months as at acceptance	7.00%	Rs. 5,54,851
Less penalty of 0.50%, applicable to this deposit	6.50%	Rs. 5,50,774
Less penalty of 1.00%, had the deposit exceeded Rs. 5,00,000	6.00%	Rs. 5,46,722
Had the deposit been held to maturity	7.25% for 36 months	Rs. 6,20,273

The rate applied is the card rate for the period actually run, not the contracted rate for three years, and it is then reduced by the penalty. The depositor receives Rs. 5,50,774 rather than the Rs. 6,20,273 that would have arisen at maturity.

B.3 The Alternative of Borrowing

Instead of withdrawing at 18 months, the depositor could borrow against the deposit under Section 17.

Item	Detail
Maximum facility, 90% of principal	Rs. 4,50,000
Rate on the facility, contracted rate plus 1.00%	8.25% per annum
Interest for six months on Rs. 4,50,000 fully drawn	Approximately Rs. 18,562
Deposit continues to earn	7.25%, undisturbed

Item	Detail
Maturity value at 36 months, unaffected	Rs. 6,20,273

Where the depositor needs funds for a short period and expects to repay before maturity, borrowing is ordinarily the cheaper course. Where the funds are needed permanently, or for a period approaching the residual tenure, premature withdrawal may be cheaper. The comparison required by paragraph 14.6 shall be worked in figures for the depositor's own circumstances.

B.4 Overdue Deposit

The deposit above matures and is not claimed for 45 days.

Item	Amount
Maturity value on the maturity date	Rs. 6,20,273
Interest for 45 days at the savings rate of 2.75%	Rs. 2,103
Amount payable on the 45th day	Rs. 6,22,376

Had the depositor instead instructed renewal with effect from the maturity date, the deposit would have been renewed at the card rate in force on that date, and the savings rate interest adjusted.

B.5 Recurring Deposit

Instalments of Rs. 10,000 a month for 36 months at 7.00% per annum, compounded quarterly.

Item	Amount
Total instalments deposited	Rs. 3,60,000
Interest earned	Rs. 41,373
Maturity value	Rs. 4,01,373

A default in an instalment attracts the charge in paragraph 12.4, deducted from the maturity value, and does not affect the interest already accrued.

Annexure C: Turnaround Time and Compensation Matrix

Event	Timeline	Compensation for delay
Acceptance of a deposit and issue of deposit advice	1 business day	Nil
Recording of nomination	2 business days	Nil
Variation of maturity instruction	Same business day	Nil
Duplicate deposit receipt on loss	3 business days	Nil
Interest credit on an income deposit	Last business day of the period	Rs. 100 per day
Notice before maturity	15 days in advance	Not applicable
Second notice where no instruction on record	5 days before maturity	Not applicable
Credit of maturity proceeds	On the maturity date	Rs. 100 per day
Renewal advice on automatic renewal	1 business day	Nil
Premature withdrawal, request before cut-off	Same business day	Rs. 100 per day
Premature withdrawal, request after cut-off	Next business day	Rs. 100 per day
Comparison under paragraph 14.6	Before the withdrawal is effected	Not applicable
Sanction of a loan against deposit	1 business day	Nil
Notice before adjusting maturity proceeds against a facility	Before adjustment	Not applicable
Contact attempt on an overdue deposit	Monthly	Not applicable
Notice on a defaulted recurring deposit instalment	3 business days	Not applicable
Contact after six consecutive instalment defaults	Immediately, with 60 days to respond	Not applicable
Settlement of a deceased depositor claim	15 days	Contracted rate plus 2% p.a.
Interest certificate or tax certificate on request	3 business days	Nil
Refund of excess tax deducted, same financial year	7 business days	Nil
Correction of depositor information	10 business days	Nil
Grievance, Level 1	7 business days	Nil
Grievance, Level 2	14 business days	Nil
Grievance, Level 3	21 business days	Nil

Annexure D: Abbreviations and Version History

D.1 Abbreviations

Abbreviation	Expansion
ALCO	Asset and Liability Committee
AML	Anti-Money Laundering
CFT	Counter-Financing of Terrorism
CISO	Chief Information Security Officer
FIU	Financial Intelligence Unit
KYC	Know Your Customer
OVD	Officially Valid Document
RD	Recurring Deposit
TAT	Turnaround Time
TDS	Tax Deducted at Source

D.2 Version History

Version	Date	Approved by	Summary of change
6.0	14 January 2021	Board of Directors	Consolidated reissue of deposit terms across all variants
6.1	03 September 2021	Product and Pricing Committee	Revision of tenure buckets; introduction of Flexi Deposit
7.0	25 May 2022	Board of Directors	Rewrite of Section 14; penalty slabs introduced; premature withdrawal made available at any branch
7.1	17 February 2023	Asset and Liability Committee	Bulk deposit threshold revised; separate bulk rate card introduced
8.0	06 October 2023	Board of Directors	Introduction of Section 15; minimum for non-callable deposits set at Rs. 1,00,00,000; acknowledgement made mandatory
8.1	29 June 2024	Product and Pricing Committee	Senior citizen premium extended to deposits of six months and above
8.2	21 March 2025	Board of Directors	Overdue deposits made to earn the savings rate without exception; maturity notice made mandatory
8.3	14 April 2026	Board of Directors	Current version. Comparison with borrowing made mandatory before premature withdrawal; addition of Annexures B and C